

Question Bank

- Q1. Which of the following is NOT included in the decisions that every society must make?
- a. what goods will be produced
 - b. who will produce the goods
 - c. what determines consumer preferences
 - d. who will consume the goods
- Q2. For what reason do both households and societies face many decisions?
- a. because resources are scarce
 - b. because populations may increase or decrease over time
 - c. because wages for households and therefore society fluctuate with business cycles
 - d. because people, by nature, tend to disagree
- Q3. What is the economy experiencing when a society cannot produce all the goods and services people wish to have?
- a. scarcity
 - b. market failure
 - c. externalities
 - d. all the above
- Q4. What concept is illustrated by the adage, "There is no such thing as a free lunch"?
- a. tradeoffs
 - b. scarcity
 - c. productivity
 - d. efficiency
- Q5. Henry decides to spend 2 hours playing golf rather than working at his job which pays \$8 per hour. What is Henry's tradeoff?
- a. the \$16 he could have earned working for 2 hours
 - b. nothing, because he enjoys playing golf more than working
 - c. the increase in skill he obtains from playing golf for those 2 hours
 - d. nothing, because he spent \$16 for green fees to play golf
- Q6. When government policies such as the welfare system try to help the neediest members of society, what happens?
- a. It increases equity and reduces efficiency.
 - b. It reduces charitable contributions in an economy.
 - c. It increases the productivity of the needy in the society.
 - d. It causes market failure to occur.
- Q7. How do people make decisions at the margin?
- a. by following tradition

- b. by experience
- c. by calculating dollar costs
- d. by comparing costs and benefits

Q8. How does the "invisible hand" direct economic activity?

- a. through advertising
- b. through prices
- c. through central planning
- d. through government regulations

Q9. How can the production possibilities frontiers shift outward?

- a. if government increases the amount of money in the economy
- b. if there is an increase in technology
- c. if resources can be moved from the production of one good to another
- d. if opportunity costs are reduced

Q10. How do economists view positive statements?

- a. affirmative, justifying existing economic policy
- b. optimistic, putting the best possible interpretation on things
- c. descriptive, making a claim about how the world is
- d. prescriptive, making a claim about how the world ought to be

Q11. If a decrease in income increases the demand for a good, what is the good called?

- a. a substitute good
- b. a complementary good
- c. a normal good
- d. an inferior good

Q12. Which of the following would NOT shift the demand curve for a good or service?

- a. a change in income
- b. a change in the price of the good or service
- c. a change in expectations about the price of the good or service
- d. a change in the price of a related good

Q13. If a car manufacturer purchases new labour-saving technology for its assembly line, what would we NOT expect?

- a. less labour to be used
- b. the supply of cars produced to increase
- c. costs to the firm to fall
- d. the price of cars to be increased by the firm

Q14. Suppose there is an earthquake that destroys several corn canneries. Which of the following would NOT occur as a direct result of this event?

- a. Sellers would not be willing to produce and sell as much as before at each relevant price.

- b. The supply would decrease.
- c. Buyers would not be willing to buy as much as before at each relevant price.
- d. The equilibrium price would rise.

Q15. Which of the following will definitely cause equilibrium quantity to fall?

- a. demand increases and supply decreases
- b. demand and supply both decrease
- c. demand decreases and supply increases
- d. demand and supply both increase

Q16. Suppose that the incomes of buyers in a particular market for a normal good decrease and there is also an increase in input prices. What would we expect to occur in this market?

- a. The equilibrium price would increase, but the impact on the amount sold in the market would be ambiguous.
- b. The equilibrium price would decrease, but the impact on the amount sold in the market would be ambiguous.
- c. Equilibrium quantity would increase, but the impact on equilibrium price would be ambiguous.
- d. Equilibrium quantity would decrease, but the impact on equilibrium price would be ambiguous.

Q17. If a supply curve for a good is price elastic, then

- a. the quantity supplied is sensitive to changes in the price of that good.
- b. the quantity demanded is insensitive to changes in the price of that good.
- c. the quantity demanded is sensitive to changes in the price of that good.
- d. the quantity supplied is insensitive to changes in the price of that good.
- e. none of these answers.

Q18. Suppose that at a price of €30 per month, there are 30,000 subscribers to cable television in Small Town. If Small Town Cablevision raises its price to €40 per month, the number of subscribers will fall to 20,000. Using the midpoint method for calculating the elasticity, what is the price elasticity of demand for cable TV in Small Town?

- a. 1.4
- b. 0.66
- c. 0.75
- d. 2.0
- e. 1.0

Q19. If consumers think that there are very few substitutes for a good, then

- a. supply would tend to be price elastic.
- b. none of these answers.
- c. demand would tend to be price inelastic.
- d. demand would tend to be price elastic.
- e. supply would tend to be price inelastic.

Q20. If demand is linear (a straight line), then price elasticity of demand is

- a. elastic in the upper portion and inelastic in the lower portion.
- b. inelastic in the upper portion and elastic in the lower portion.
- c. inelastic throughout.
- d. constant along the demand curve.
- e. elastic throughout.

Q21. A tax of €1.00 per litre on petrol

- a. places a tax wedge of €1.00 between the price the buyers pay and the price the sellers receive.
- b. decreases the price the sellers receive by €1.00 per litre.
- c. increases the price the buyers pay by €1.00 per litre.
- d. increases the price the buyers pay by precisely €0.50 and reduces the price received by sellers by precisely €0.50.

Q22. A price floor

- a. always determines the price at which a good must be sold.
- b. sets a legal maximum on the price at which a good can be sold.
- c. is not a binding constraint if it is set above the equilibrium price.
- d. sets a legal minimum on the price at which a good can be sold.

Q23. A binding price ceiling creates

- a. a shortage or a surplus depending on whether the price ceiling is set above or below the equilibrium price.
- b. a surplus.
- c. a shortage.
- d. an equilibrium.

Q24. The burden of a tax falls more heavily on the buyers in a market when

- a. both supply and demand are inelastic.
- b. demand is elastic and supply is inelastic.
- c. both supply and demand are elastic.
- d. demand is inelastic and supply is elastic.

Q25. Nicole owns a small pottery factory. She can make 1,000 pieces of pottery per year and sell them for €100 each. It costs Nicole €20,000 for the raw materials to produce the 1,000 pieces of pottery. She has invested €100,000 in her factory and equipment: €50,000 from her savings and €50,000 borrowed at 10 percent (assume that she could have loaned her money out at 10 percent, too). Nicole can work at a competing pottery factory for €40,000 per year. The economic profit at Nicole's pottery factory is

- a. €80,000.
- b. €30,000.
- c. €75,000.
- d. €70,000.
- e. €35,000.

Q26. If, as the quantity produced increases, a production function first exhibits increasing marginal product and later diminishing marginal product, the corresponding marginal-cost curve will

- a. be flat (horizontal).
- b. slope upward.
- c. slope downward.
- d. be U-shaped.

Q27. Which of the following is a variable cost in the short run?

- a. rent on the factory
- b. wages paid to factory labour
- c. interest payments on borrowed financial capital
- d. payment on the lease for factory equipment
- e. salaries paid to upper management

Q28. In the short run, the competitive firm's supply curve is the portion of the marginal-cost curve that lies above the average variable cost curve.

- a. upward-sloping portion of the average total cost curve.
- b. upward-sloping portion of the average variable cost curve.
- c. portion of the marginal cost curve that lies above the average total cost curve.
- d. entire marginal cost curve.
- e. portion of the marginal-cost curve that lies above the average variable cost curve.

Q29. If the long-run market supply curve for a good is perfectly elastic, an increase in the demand for that good will, in the long run, cause

- a. an increase in the number of firms in the market but no increase in the price of the good.
- b. an increase the price of the good and an increase in the number of firms in the market.
- c. an increase the price of the good but no increase in the number of firms in the market.
- d. no impact on either the price of the good or the number of firms in the market

Q30. For a competitive firm, marginal revenue is

- a. total revenue divided by the quantity sold.
- b. equal to the quantity of the good sold.
- c. average revenue divided by the quantity sold.
- d. **equal to the price of the good sold.**

Q31. Compared to a perfectly competitive market, a monopoly market will usually generate

- a. **higher prices and lower output.**
- b. higher prices and higher output.
- c. lower prices and lower output.
- d. lower prices and higher output.

Q32. If regulators break up a natural monopoly into many smaller firms, the cost of production

- a. **will rise.**

- b. will fall.
- c. will remain the same.
- d. could either rise or fall depending on the elasticity of the monopolist's supply curve.

Q33. If marginal revenue exceeds marginal cost, a monopolists should

- a. **increase output.**
- b. decrease output.
- c. keep output the same because profits are maximized when marginal revenue exceeds marginal cost.
- d. raise the price.

Answer Key

Q1. C
Q2. A
Q3. A
Q4. A
Q5. A
Q6. A
Q7. D
Q8. B
Q9. B
Q10. C
Q11. D
Q12. C
Q13. D
Q14.
Q15.
Q16.
Q17. A
Q18. A
Q19. C
Q20. A
Q21. D
Q22. D
Q23. C
Q24. D
Q25. B
Q26. D
Q27. B
Q28. E
Q29. A
Q30. D
Q31. A
Q32. A
Q33. A